2009 SCC OnLine All 1064

In the High Court of Allahabad

(BEFORE SUNIL AMBWANI AND RAN VIJAI SINGH, JJ.)

Civil Misc. Writ Petition No. 27290 of 2008

Raman Ispat (Pvt.) Ltd. & Anr.

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.

With

Civil Misc. Writ Petition No. 16147 of 2009

M/s Raman Ispat (Pvt.) Ltd.

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

And

Civil Misc. Writ Petition No. 16149 of 2009

Ram Pal Singh

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

Civil Misc. Writ Petition No. 27290 of 2008; Civil Misc. Writ Petition No. 16147 of 2009; and Civil Misc. Writ Petition No. 16149 of 2009

Decided on September 4, 2009

Advocates who appeared in this case:

Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions.

Shri Pankaj Kumar Shukla appears for the Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

Heard Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions. Shri Pankaj Kumar Shukla appears for the Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr. (PVVNL), the successor of U.P. State Electricity Board and U.P. Power Corporation Ltd.

M/s Raman Ispat (P) Ltd., a private limited company registered under the Companies Act, 1956 filed the Writ Petition No. 27290 of 2008 with a prayer to restrain the Executive Engineer, Electricity Urban Distribution Division-1, PVVNL, Muzaffar Nagar from disconnecting the power supply of the petitioner company (service connection No. LP-38) on account of the demand of arrears of electricity charges, outstanding against Singh Alloys (P) Ltd. and further to restrain the Executive Engineer-respondent No. 2 from encashing cheque No. 501910 dated 31.5.2008 amounting to Rs. 50,34,016/- drawn on HDFC Bank, Muzaffar Nagar. By the second prayer the petitioner sought information from the Executive Engineer-respondent No. 2 to provide details under which by the order dated 26.5.2008 the petitioner company was forced to submit the cheque of Rs. 5034016/- against electricity charges due to Singh Alloys Pvt. Ltd.

On 5.6.2008 learned Single Judge hearing the matter in vacations, passed an order restraining the respondents from encashing the cheque and further restraining it from disconnecting the electricity connection of the petitioner for non payment of any outstanding arrears of electricity charges against Sai Steel Industries (a unit of Singh Alloys (P) Ltd.) through its Director Mohd. Ahsan son of Mohd. Meharban resident of 29, Jassi Pura, Ghaziabad.

In Writ Petition No. 16149 of 2009 filed on 23rd March, 2009 Shri Ram Pal Singh (R.P. Singh) son of late Shri Nawab Singh resident of 65 -D, New Mandi, District Muzaffarnagar has prayed for directions to quash the order dated 09.3.2009 of the Executive Engineer, Electricity Distribution Division (1), Town Hall, Muzaffarnagar rejecting the representation of Raman Ispat Pvt. Ltd. for depositing the bills payable by M/s Singh Alloys Pvt. Ltd., Meerut Road, Muzaffarnagar for its unit M/s Sai Steels, which was liable to pay the electricity dues of Rs. 50.38 lacs. The representation was decided by the Executive Engineer in pursuance to the directions issued by the High Court in Writ Petition No. 6006 of 2009. The petitioner has also prayed for restraining the respondents from making recovery proceedings including any coercive measures against the petitioner towards recovery of electricity dues of M/s Sai Steel. The writ petition was directed to be connected with Writ Petition No. 27290 of 2008 and was thereafter nominated by Hon'ble the Chief Justice to be heard by this Bench.

In Writ Petition No. 16147 of 2009 M/s Raman Ispat (P) Ltd. has prayed for quashing the same order dated 09.3.2009 passed by the Executive Engineer, Electricity Distribution Division (1), Town Hall Muzaffarnagar by which the request of the petitioner not to recover the dues of M/s Singh Alloys Pvt. Ltd. was rejected. The petitioner has further prayed for directions to restrain the respondents from recovering the dues of M/s Sai Steels from the petitioner in any manner including coercive process and also to enhance the load of M/s Raman Ispat Pvt. Ltd., the petitioner from 1825 KIVA to 2500 KVA as per the provisions of Clause 4.43(b)(i) of the U.P. Electricity Supply Code, 2005.

In all these three writ petitions M/s Raman Ispat Pvt. Ltd. has in substance prayed for direction that amounts due to be paid by M/s Sai Steels Pvt. Ltd. be not recovered from the petitioner and that the recovery against M/s Sai Steels should not be made a condition precedent for enhancing the load from 1825 KVA to 2500 KVA. The

PVVCL has not accepted the demand on the ground that M/s Raman Ispat Pvt. Ltd. purchased plot No. 1499 M area 0.471 hec. from M/s HM Steels (a partnership firm). Shri R.P. Singh, the Director of M/s Raman Ispat Pvt. Ltd. was a partner of M/s Sai Steels, a partnership firm had entered into agreement with U.P. State Electricity Board (as it then was). The partnership continued without any information of its resolution to the UPSEB/UPCL. Shri R.P. Singh is partner of M/s Sai Steel. Shri R.P. Singh was instrumental in registering the companies M/s Singh Alloys and the partnership firm M/s Sai Steels. He is liable as partner to pay all the dues of M/s Sai Steels as his liability with other partners jointly and severely. M/s Raman Ispat Pvt. Ltd. is thus required to pay old dues before its application for enhancement of load can be considered under Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005.

Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions submits that M/s Sai Steel Industries, a partnership concern had entered into agreement with UPSEB on 28.8.1985 for contracted load of 470 KVA. The agreement was signed by Shri Shiv Kumar Singh, one of the partners of M/s Sai Steels Industries. Shri Shiv Kumar Singh and Shri Ram Pal Singh floated a company in the name and style of M/s Singh Alloys Pvt. Ltd. along with other partners. Shri Ram Pal Singh, the petitioner in Writ Petition No. 16149 of 2009 was one of the Directors of M/s Singh Alloys Pvt. Ltd. Shri Ravi Bansal and Shri Surendra Prakash, partners in M/s Sai Steels retired from partnership on 25.7.1988 on which the partnership continued with Shri Ram Pal Singh-the petitioner in Writ Petition No. 16149 of 2009, Shri Bhim Singh, Shri Shiv Kumar Singh and Shri Rajendra Singh. Shri Ram Pal Singh retired as Director of M/s Sai Steels Pvt. Ltd. on 1.4.1990. A Form 32 was submitted before the Registrar of Companies. Shri Ram Pal Singh along with Shri Bhim Singh, Shri Shiv Kumar Singh and Shri Rajendra Singh, retired from M/s Sai Steels on 1.1.1991 after which the partnership concern continued by the same name taking three partners namely M/s Ahsan, Shri Sakeel Ahmad and Shri Ravindra Sharma. The demand notice was issued on 3.4.2001 against M/s Sai Steels Pvt. Ltd. to be recovered from the petitioner on which Shri Sakeel Ahmad applied on 10.5.2001 on behalf of M/s Sai Steels for permanent disconnection of electricity connection. The electric supply was permanently disconnected on 10.5.2001 and that on 25.8.2001 Shri R.P. Singh made a representation along with documentary proof that he had no concern with the firm/company. Enquiries were made from the Registrar of Companies on which a report was given to the Executive Engineer on 4.10.2001 that Shri R.P. Singh has no concern with M/s Sai Steels, after which the name of Shri R.P. Singh was expunged from the recovery certificate on 19.10.2001.

Shri B.C. Rai states that inspite of expunging the name of the petitioner Shri Ram Pal Singh from the recovery certificate, the Executive Engineer-PVVNL issued recovery certificate on 3.6.2008 to recover the electricity dues from the partners/directors of M/s Sai Steels. The Chief Engineer, PVVNL required the Executive Engineer by letter dated 6.10.2008 to recover the dues only from the partners/directors of the firm/company. Similar letter was also sent by the Superintending Engineer on 21.2.2009. The Executive Engineer, however, insisted upon the recovery of electricity dues of M/s Sai Steels from M/s Raman Ispat Pvt. Ltd. and issued a notice on 19.1.2009 to M/s Raman Ispat Pvt. Ltd. The recovery was assailed in Writ Petition No. 6006 of 2009, filed by M/s Raman Ispat Pvt. Ltd. This Court on 5.2.2009 directed the Executive Engineer to decide his representation on which the impugned order was passed. Shri B.C. Rai further submits that M/s Agrawal Steels was given electricity connection of 2000 KVA by UPSEB under the agreement dated 31.12.1984. By the office memorandum dated 3.11.1989 the Chairman UPSEB Lucknow substituted the name of consumer from "Shri Hukum Chandra Agrawal" proprietor M/s Agrawal Steels Meerut Road, Muzaffarnagar as M/s Raman Ispat Pvt. Ltd., 7th K.M. Stone, Meerut Road, Muzaffarnagar subject to condition (1) the agreement for the above load has not been executed and (2) the orders for sanction of the above load are still valid and in force till date. M/s Raman Ispat Pvt. Ltd. entered into agreement with UPSEB for a contracted load of 1825 KVA. On 05.04.2008 an application was made by M/s Raman Ispat Pvt. Ltd. for enhancement of the contracted load from 1925 KVA to 4325 KVA in the same terms. The PVVNL which has stepped into the shoes of UPSEB, called upon the petitioner to discharge the liabilities of M/s Sai Steels under clause 4.3 (f) to (h) of the U.P. Electricity Supply Code, which provides:-

"(f) Where the applicant has purchased existing property it shall be the duty of the applicant to verify that old owner has paid all dues to the licensee and has obtained no-dues certificate from licensees. In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within two month from the date of application. The application shall processed by licensee on clearing of dues only the new owner.

(g) Where the property has been legally sub-divided, the outstanding dues for the consumption of energy on such premises, if any, shall be divided on pro-rate basis.

(h) A new connection to such sub-divided premises shall be given only after the share of outstanding dues attributed to such sub-divided premises, is duly paid by the applicant. Licensee shall not refuse connection to an applicant only on the ground that, dues on the other portion(s) of such premises have not been paid, nor shall the licensee shall demand record of last paid bills of other portion(s) from such applicants."

It is stated that Clause 4.3(f) of the Code has been amended by UP Electricity Reforms Commission w.e.f. 11.8.2006. The amended clause 4.3(f) of the U.P. Electricity Supply Code, 2005 reads as follows:-

"4.3 New Connections-General: (a)

(f)(i) it will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to be pay the outstanding electricity dues/obtain no-dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. "Outstanding dues" means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no dues certificate, by giving the reference of the connection in said premises. The license shall either intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without considered to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

(vii) However the above conditions shall not apply if inconsistent with the provision of any higher court order or an order as a consequence to it.

(viii) The application shall be processed by licensee on clearing of dues."

It is submitted by Shri B.C. Rai that Raman Ispat Pvt. Ltd. had clarified by its letter dated 16.2.2005 to the Executive Engineer that on 19.5.1990 M/s Singh Alloys Pvt. Ltd. had entered into agreement in terms whereby the property bearing Khasra No. 1499 was mortgaged as security in favour of PICUP. The company committed defaults on which PICUP initiated proceedings under Section 29 of the State Financial Corporation Act, 1951 and took over the possession of the property. M/s H.M. Steel purchased the property of M/s Singh Alloys Pvt. Ltd. in an open auction held by PICUP. The sale deed was executed in favour of M/s HM Steel by PICUP on 27.11.2002. On 27.9.2007 M/s Raman Ispat, the petitioner purchased a part of property bearing Khasra No. 1499M from the partners of M/s HM Steels, which had purchased it from PICUP. M/s Raman Ispat also purchased the other part of the same plot of Khasra No. 1499 M from Smt. Hajjan Abda on 8.5.2009. She had purchased the property from M/s H.M. Steel. M/s Sai Steel was partnership firm. It had obtained electric connection from UPSEB for running a factory and had no concern with M/s Raman Ispat Pvt. Ltd., which has no interest, much less controlled interest of *Sai Steel. Relying upon Isha Marbles* v. *Bihar State Electricity Board*, (1995) 2 SCC 648 (para 56) and *Ahmedabad Electricity Co. Ltd.* v. *Gujarat Inns (P) Ltd.*, (2004) SCC 587 that the past electricity dues are not a charge over the property and the property purchased by the auction purchaser, the purchaser shall seek supply of electricity energy, the petitioner applied to increase the load to supply electricity. M/s Raman Ispat (P) Ltd. cannot be now called upon to clear the past arrears as condition precedent to supply. The contract between erstwhile consumer and the Board cannot be enforced on a third party and that fresh connection, though the premises are the came, cannot be subjected to liability to clear the dues incurred by the previous owner in respect of power supply.

Shri B.C. Rai has not challenged the amended clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, which provides in Clause (IV) as a statutory condition that the outstanding dues will be a charge on the assets of the company, and sub clause (V) providing that where a financial institution has auctioned the property without considering the licensee's charge on the licensee assets, the claims may be lodged with the concerned financial institution with diligent persuasion. It is submitted that the petitioner is subsequent bonafide purchaser for value from the vendee of PICUP and that Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, which came into force on 11.8.2006 is not applicable to the statutory sale by the U.P. Financial Corporation Act, 1951, prior to the enforcement of the clause.

Shri Pankaj Shukla appearing for PVVNL states that M/s Raman Ispat Pvt. Ltd. was incorporated on 18.9.1989, with Shri R.P. Singh, Shri Bheem Singh, Shri Agrawal and Shri S.P. Singh as its directors. The site plan of the property demonstrates that the wall of both the companies namely M/s Sai Steels and M/s Raman Ispat Pvt. Ltd. are adjoining each other and are situate on 7th Kms. Stone, Muzaffarnagar. M/s Sai Steels could not pay the electricity dues and was declared a defaulter. With the collusion of the directors and partners of both the firm and the company, the land was sold to M/s Raman Ispat Pvt. Ltd. Shri R.P. Singh, the Managing Director of M/s Raman Ispat Pvt. Ltd. had himself moved an application for enhancement of the load of Raman Ispat Pvt. Ltd., and had clearly mentioned in a letter addressed to the Executive Engineer, Electricity Distribution Division-1, Town Hall, Muzaffarnagar that there are only two directors in the company namely Shri R.B. Singh and Shri Virendra Verma. He had supported the application along with a copy of the list of Directors of the company downloaded from the website of the Registrar of Companies on 8th February, 2008 at 1.07 P.M. IST. Shri Pankaj Kumar Shukla submits that the petitioner very cleverly merged M/s Sai Steels (a partnership firm) in M/s Raman Ispat Pvt. Ltd. (a private limited company) and thereafter moved an application for enhancement of the load. The respondents detected the fraud and issued notice to recover the electricity dues of M/s Sai Steels from the petitioner under the amended clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005.

Shri Pankaj Kumar Shukla further submits that M/s Sai Steels never surrendered nor transferred the electricity connection to anyone and that partners of M/s Sai Steels himself entered into agreement for supply of electrical energy. He has relied upon Supreme Court judgment in *Pashchimanchal Vidyut Vitran Nigam Ltd.* v. *DUS Steels and Alloys Pvt. Ltd.* decided on 7.11.2008 and reported in JT 2008 (12) SC 672. In this judgment it was held that supply of electricity by distributor to a consumer is “sale of goods”. A transferee of the premise or a subsequent occupant of the premise with whom the supplier has no previty of contract cannot obviously be asked to pay the dues of his predecessor entitled or possession as the amount payable towards supply of electricity does not constitute a charge on the premise. A predecessor of a premises cannot be foisted with the electricity dues of any previous occupant merely because he happens to be the current owner of the premises. But this legal position does not help a purchaser of a premises. When the purchaser of the premises approaches the distributor seeking fresh electricity connection to its premises for supply of electricity, the distributor can provide for the terms subject to which it would supply electricity. It can stipulate the condition of payment of arrears for supply of electricity made to the premises, when it was in the occupation of the previous owner/occupant. The licensee can stipulate that the past dues be cleared before the electricity supply is restored to the premises, or a fresh connection is provided, or load is enhanced to the factory on the same premises. Such a stipulation cannot be termed as unreasonable or arbitrary.

We have carefully considered the submissions of the parties, and perused the records. Mr. Hukum Chandra Agrawal, a proprietor of M/s Agrawal Steels entered into agreement for electricity connection with U.P. State Electricity Board on 23rd December, 1984. By office memorandum dated November 3, 1989 the connection was transferred by substituting M/s Raman Ispat Pvt. Ltd. 7 KMS Meerut Road, Muzaffar Nagar as consumer with the condition that the order for sanction of load are still valid and are in force, and an agreement is executed.

M/s Sai Steel (a partnership firm) with Shri Bhim Singh, Shri Shiv Kumar Singh, Shri Rajendra Singh, Shri R.P. Singh was incorporated on 25.7.1989. The firm entered into agreement dated 28.8.1985 for supply of electricity of the contracted load of 470 KVA. The partnership was dissolved on 1.1.1991. It is alleged that a new partnership concern in the same name and style came into existence with three partners namely Mohd. Ahsan, Shakeel Ahmad both sons of Mohd. Meharban and Shri Irfan Ahmad. A new agreement was executed with enhanced load 800 KVA between partnership firm and UPSEB. The firm did not pay the electricity dues and applied for permanent disconnection. The permanent disconnection could be made only after the dues were paid. There is no order to sanction permanent disconnection or payment of past dues available on record. M/s Raman Ispat Pvt. Ltd. was incorporated with Shri R.B. Singh, Shri Bhim Singh, Shri Hukum Chandra Agrawal and Shri S.P. Singh as its directors. The petitioners have not brought on record any arrangement by which M/s Sai Steels had transferred the business to M/s Raman Ispat Pvt. Ltd.

M/s Singh Alloys Pvt. Ltd., a company having industrial activity adjacent to M/s Raman Ispat Pvt. Ltd. had taken financial assistance from PICUP after mortgaging its property. The company committed defaults on which PICUP initiated proceedings under Section 29 of the State Financial Corporation Act, 1951 and took over the possession of the land and sold it in open auction to M/s HM Steels vide sale dated 27.11.2002. M/s Raman Ispat Pvt. Ltd. purchased a part of land from M/s HM Steels and also Smt. Hajjan, who had in turn purchased it from HM Steels. These sale deeds were executed on 27.9.2007 and 8.5.2008 respectively.

The petitioners have failed to prove that there is no relationship between M/s Sai Steels and M/s Raman Ispat Pvt. Ltd. The deed of dissolution of M/s Sai Steels, registration of partnership with new partners has not been brought on record. M/s Singh Alloys Pvt. Ltd. committed defaults on which PICUP took over possession and sold the property to M/s HM Steels on 27.11.2002. M/s Raman Ispat Pvt. Ltd. purchased a part of property from M/s H.M. Steel, and other part from

Smt. Hajjan Abdi, the purchaser of the other part from M/s HM Steel. M/s Raman Ispat Pvt. Ltd. thus became the owner of the entire industrial plot.

In the rejoinder affidavit of Shri Mange Ram (in Writ Petition No. 16147 of 2009) he has annexed the affidavit of Sakeel Ahmad claiming to be the Director of Sai Steels Ltd. (a unit of Singh Alloys) 7th KM Meerut Road, Muzaffarnagar. The affidavit filed with the Executive Engineer, Electricity Distribution Division-1, Muzaffarnagar was sworn by him on 10.5.2001. In this affidavit it is stated by him as Supervisor of the petitioner company that M/s Sai Steels with four partners including Shri R.P. Singh had entered into agreement dated 28.8.1985 for supply of 470 KVA load. The partnership was dissolved on 1.1.1991 with new partners as Mohd. Ahsan, Sakeel Ahmad and Irfan Mohd. and that new partnership concern applied for enhancement of load from 470 KVA to 800 KVA. The new agreement with the new partnership is in the possession of the Executive Engineer, who is duty bound to produce it before the High Court. *Shri Sakeel Ahmad* filed a notary affidavit on 10.5.2001 (supra) and gave cheques issued by the partners of the new partnership, to surrender the electricity connection. The payment of dues of Shri Sakeel Ahmad on behalf of Sai Steel Ltd. to UPSEB is not admitted to the respondents. Shri R.P. Singh claiming himself to be Director of Raman Ispat Pvt. Ltd. had admitted in Writ Petition No. 27290 of 2008 in which he represents Raman Ispat Pvt. Ltd. as one of its Directors (writ petition was filed on 2nd June, 2008) that in the bills of March, 2008 and April 2008 there were arrears of 15% independent feeder charges for which the petitioner had obtained stay orders in Writ Petition No. 39510 of 2002 on 11.8.2005. the writ petition was allowed and the demand of independent feeder charge was quashed. In the same bill there was demand of additional security amount and that under the threat of recovery he was pressed to give a cheque of Rs. 50,34,016/- on 26.5.2008 to the Executive Engineer for alleged outstanding arrears of Sai Steels Industries described as unit of Singh Alloys Pvt. Ltd.

Shri R.P. Singh, the petitioner in Writ Petition No. 16149 of 2009 has very cleverly spun the web of acquisitions and change of the name of the companies, so that the electricity department may not catch him for the dues of M/s Sai Steels for the electricity consumed by the company as raw material to produce steel. He has not challenged the demand, and has rather confined the writ petition to the plea that he is neither a partner in Sai Steels nor a Director in Raman Ispat Pvt. Ltd. purchased from M/s HM Steels Ltd. It appears that for some time he was able to take the electricity department for a ride in proving that he has nothing to do with either of the companies and that demand was sought to be knocked out. The department, however, appears to have lifted the veil and has found that Shri R.P. Singh is the person behind all these companies and is liable to pay the due of M/s Sai Steels Ltd. Shri Mahesh Chandra, the Executive Engineer, Electricity Distribution Division-I, Town Hall, Muzaffarnagar has rightly observed in the impugned order that at the time of entering into agreement Shri R.P. Singh was the partner of M/s Sai Steels, which was unit of M/s Singh Alloys Pvt. Ltd. M/s Singh Alloys Pvt. Ltd. was sold for defaults committed in repayment to PICUP and was purchased by M/s HM Industries, Shri R.P. Singh purchased the property back from M/s HM Industries and Smt. Hajjan in the name of M/s Raman Ispat Pvt. Ltd. The Executive Engineer has thus rightly dismissed the application for enhancement of rate of Raman Ispat Pvt. Ltd. until the dues of Sai Steels are cleared.

In the sale dated 27.11.2002 annexed as Annex. No. 8 executed between PICUP as vendor and M/s HM Steels, partnership firm with Shri Saeem Ahmad, Mohd. Adil and Shri Jakaullah as partners, the description of the land is given in the schedule as follows:-

"Sale deed executed on 11.12.89 by Sri Rampal Singh S/o Sri Nawab Singh R/o 65-B Nai Mandi Muzaffar Nagar a partner of M/s Sai Steel Industries, Meerut Road, Muzaffar Nagar (seller) in favour of M/s Singh Alloys Pvt. Ltd. Meerut Road, Muzaffar Nagar having its registered office at 70/1, Kambal Wala Bagh Muzaffar Nagar (Purchaser) in respect of plot of land Khasra No. 1499 m. admeasuring 2 Bigha 6 Biswa (0.471 Hec.t) located at village Jaroda, Pargana Tehsil and District Muzaffar Nagar. The sale deed is duly registered in the office of Sub-Registrar Muzaffar Nagar in Bahi No. 1 Khand 15 at page 55/70 at Sl. No. 8047 on 11.12.89."

The same land was purchased by Raman Ispat Pvt. Ltd. with Shri R.P. Singh as Director of the company.

In the sale deed between M/s HM Steels and Raman Ispat Pvt. Ltd. dated 10.9.2007, there is a recital that M/s HM Steels, Murad Nagar has demolished the plant and machinery and has sold the same to a third party and that land is vacant on the spot. The sale deed executed by Smt. Hajjan Abada in favour of Raman Ispat Pvt. Ltd. described the property to be an open land with 7' wide boundary wall and covered area of only 14 sq. mtrs. on which a room is constructed. The reasons for which the petitioner wanted the load sanctioned to be enhanced from 1825 KVA to 4325 KVA is not clear from the records. If Sai Steels Industries was closed and was allowed permanent disconnection of electricity supply and that plant and machinery of Raman Ispat Pvt. Ltd. have been removed, there could be no reason for enhancement of sanctioned load to M/s Raman Ispat Pvt. Ltd. from 1825 KVA to 4325 KVA.

Shri R.P. Singh is the man behind the entire scheme. He had accepted the liability and paid the cheque and thereafter obtained an interim order from this Court, in summer vacations on 5.6.2008 by withholding the facts and painting a false picture. The petitioners have thus not come to the Court with clean hands and are not entitled to any relief.

All the three writ petitions are dismissed with costs.
